

AI Can't Be an Afterthought in HR Strategy

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Initiatives: Transform HR through AI; Functional Design

CHROs who develop an HR strategy without integrating AI risk limiting the function's strategic value. CHROs must integrate AI into the earliest stages of strategic planning, rooting HR goals in business needs while propelling those goals forward to the "art of the possible" that AI enables.

Insights at a Glance

AI cannot be treated simply as a standard HR technology that enables HR's strategic plan, relegated to a single goal or supplementary HR technology roadmap. Treating it as such risks hindering the function's ability to meet enterprise expectations and eroding HR's strategic credibility. Instead, CHROs must integrate AI early into the earliest phases of strategic planning, viewing it as the transformational strategic driver that it is.

CHROs must integrate AI into the three main components of HR's strategy:

- **Vision:** Partner with the C-suite to determine the pace of enterprise AI transformation, then set HR's strategic vision to outpace that transformation, preparing the organization and function with the workforce readiness, updated work models and change infrastructure needed to drive the expected value from AI.
- **Goals:** Work with the HRLT to understand current and future business needs as the enterprise transforms. Concurrently, work to understand how AI will impact how HR operates and what value HR can deliver, developing HR goals that prepare HR and the workforce to deliver against evolving and new expectations.
- **Metrics of success:** Work with the HRLT, especially the head of HR technology, to clearly define and obtain agreement on the value AI will help create when adding AI-related goals to HR strategy.

Issue Context

- AI is top of mind for CHROs this year as they conduct strategic planning. In fact, 92% of HR leaders report that their functions have taken action to implement AI in HR in the past six months. ¹
- AI solutions are poised to augment 100% and perform up to 50% of HR's current tasks by 2030, fundamentally challenging HR's traditional value proposition and operating model (see [The Impact of AI on the HR Operating Model](#)). AI will be central to both what value HR delivers and how that value is delivered.
- AI will have a transformational impact on work, the workforce and HR functions themselves.

Impact Brief

When setting HR strategy, CHROs cannot approach AI as simply an enabler like they have for other HR technologies. AI must be fully integrated into the HR strategy, from the top down (what value HR delivers) and the bottom up (how HR will deliver that value). CHROs should still ground HR strategy in business needs but also propel it forward toward future, AI-enabled possibilities. HR functions that fail to consider the art of the possible via AI early in strategic planning risk falling behind in meeting business and talent goals. They will also limit the impact of HR's AI investments, overindexing on short-term "everyday AI" capabilities at the expense of "game-changing" AI solutions.

More Detail

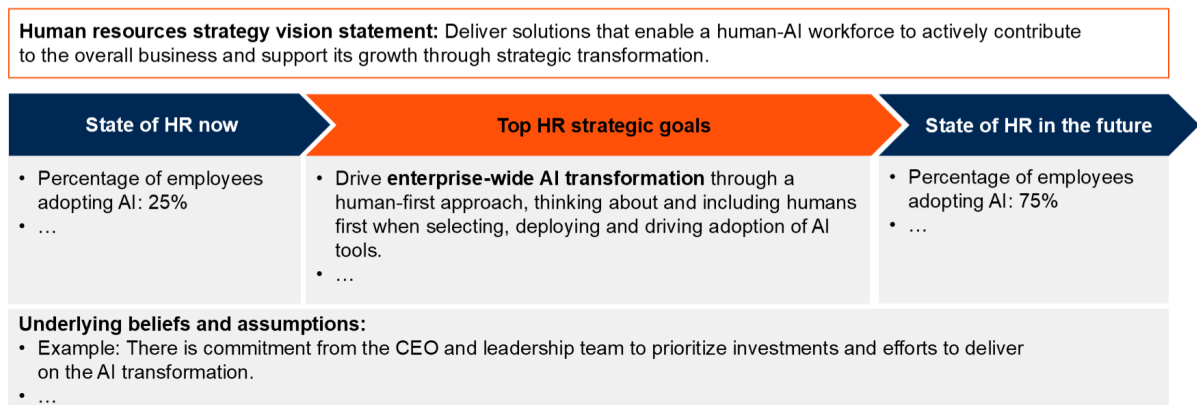
In traditional HR strategy setting, CHROs position technology as a key enabler of HR strategy. AI is different. It's not just an enabler that will help HR deliver on its current goals; AI is reshaping the way organizations and their HR functions operate. Therefore, it changes what the business needs from HR, how HR works and how HR will deliver value.

Gartner's Position: *CHROs must champion an HR strategy that anticipates and leverages AI-driven change, rather than simply aligning with business needs. The organizations that thrive will be those whose HR strategies are a step ahead of the technological transformation their organizations undergo.*

AI must be integrated into the very earliest phases of HR strategic planning, shaping HR's vision for how it delivers value, what goals it needs to accomplish and how its impact is measured. The simplest way to think about this updated approach is to imagine a CHRO's physical strategy document (see Figure 1, based on Gartner's [HR Strategy on a Page Template](#)). If you haven't considered AI's impact on each part of the document, it is not integrated enough.

Figure 1: AI-Integrated HR Strategy on a Page

AI-Integrated HR Strategy on a Page Illustrative



Source: Gartner
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This research will help CHROs create an AI-integrated HR strategy by identifying the inputs and conversations needed to infuse AI into HR's vision, goals and metrics in a way that balances business needs with technological possibilities.

Implementation Note: Although AI needs to be integrated into HR's overall strategy, CHROs should also [develop an HR-focused AI strategy](#) that provides a more detailed view of HR's AI priorities and investments.

Vision: Position HR's Vision Ahead of Enterprise AI Ambitions

A good HR strategy has a clear vision that effectively aligns HR's aspirations with enterprise goals. Today, HR's vision must deliberately be a step ahead of the organization's AI stance.

Organizations can only achieve better business outcomes through AI by adopting a proactive and structured approach to understanding the impact of AI on the workforce and how work gets done. HR is best positioned to lead in these areas, given its expertise and responsibility for people matters. Furthermore, if HR does not identify new, AI-enabled ways to provide value to the organization and new ways of working, the function risks becoming obsolete. By staying a step ahead, HR ensures a smoother AI transformation, minimizing disruptions and risks and enabling the organization (and the function) to fully leverage AI's potential for growth and innovation.

Table 1 outlines three speeds for organizational AI-driven transformation, implications for HR's vision and example vision statements.

Table 1: How to Position HR's Vision Ahead of Enterprise AI Ambitions

Pace of organizational AI transformation	Implication for HR vision	Example HR vision statement
Lead the pack: Set the rules for the industry by being among the first to fully integrate AI into operations.	Your HR vision statement will need to be explicit about HR's leading role in the enterprise's AI transformation.	Deliver hyperpersonalized solutions that enable a human-AI augmented workforce to actively contribute to the overall business and support its growth through strategic transformation.
Be a fast follower: Learn from transformation leaders and model practices after their successes.	Your vision statement should reference AI or broader innovation needed to support growth, positioning HR to lead experimentation and identification of successful AI transformation practices.	Employees and business leaders will recognize our HR organization as a source of innovation for the organization's profitability and growth.
Pursue incremental growth: Make smaller bets to achieve short-term wins with AI.	Your HR vision statement will position AI or technology as an enabler and focus on consistent service delivery. HR may get ahead by implementing its own human-first AI solutions.	Our employees and leaders will see HR as an agile, trusted, technology-optimized strategic partner delivering best-in-class solutions that contribute to our company's growth.

Source: Gartner (November 2025)

Key Conversation: C-Suite

As C-suite executives, CHROs must be active participants in setting the enterprise's overall AI ambition and strategy. They will then need to overinvest in conversations with their CEO and C-suite peers to understand and shape executive expectations around how HR will deliver value as that AI strategy is realized. These discussions will provide input to develop a well-positioned vision statement and executive buy-in to that vision.

Sample questions:

- How is AI changing what our talent needs to do? Or, what HR needs to do?
- What are the key AI trends that are most relevant to our talent supply and demand?
- What are the main risks related to the use of AI in the organization?

Goals: Develop HR Goals by Combining Business Needs and the Art of the Possible

Unlike technology-related goals in the past, AI cannot be a stand-alone goal in HR strategy. Instead, AI will impact all of HR's goals from the top down (as enterprise strategy changes, what the business needs from HR and how HR operates must change) and from the bottom up (as technology enables HR to deliver new, or improved, kinds of service). Combining both views will ensure HR goals are aligned with business needs while also being prepared for the future needs and developments AI will bring.

Table 2 outlines the types of impact AI can have on HR goals, along with relevant examples.

Table 2: Types of Impact of AI on HR Goals

Top-down change in business needs: AI changes enterprise strategy and, therefore, what the business needs from HR.	New or updated HR goals to deliver on new talent needs	AI is reducing the number of entry-level roles in our support functions. We are shifting our focus from improving entry-level hiring to expanding talent pipelines for mid-level talent, in anticipation of potential talent supply challenges.
	New goals to deliver on different-in-kind business demands	To capture value from AI, HR must help redesign work, not just prepare the workforce. We are adding a goal to provide work redesign services to functions making heavy AI investments.
Bottom-up change in HR work: AI changes how HR gets work done and the solutions HR is able to offer.	New or updated goals to transform HR's operating model	To enhance employee experience and improve operational efficiency, we are updating our HR service delivery model. We are introducing a goal to transition to an AI-first service delivery model utilizing AI agents.
	Updated goals to reflect where AI investments can enhance HR's offerings	We will need to maintain a continued focus on leadership development. With virtual coaches for leaders becoming a feasible AI use case in the future, we are updating our leadership development goal to include digital savviness for senior leaders.

Source: Gartner (November 2025)

Key Conversation: HRLT

To consider the bottom-up impact of AI on HR goals, CHROs should ask their AI product owner to lead the HRLT in an exploratory discussion. They should seek to understand how AI as a technology is evolving, common use cases in HR (including their current value and feasibility) and examples and predictions of how AI will impact work at the organization and the broader industry as a whole.

Sample questions:

- What outcomes do you imagine AI will help us achieve in the next two to five years? For the organization? For the function? For employees?
- What things did you never imagine feasible that now seem possible with AI?
- What fundamental changes do we need to make to our HR operating model to deliver the full potential of AI?

Metrics: Align on (and Measure) the Value AI Will Deliver

Today, 56% of CHROs agree that the metrics available to them make it difficult to measure HR's impact on the business accurately. ² This challenge is heightened when HR implements and supports more AI-driven goals, as success with AI-related investments tends to mean different things to different stakeholders. Furthermore, top executives are often frustrated when AI benefits fall short of forecasts. The primary cause of this frustration is the misalignment between the expected type of value (usually financial) and the type of value actually created (usually nonfinancial).

Therefore, when adding AI-related goals to HR's strategy, CHROs must clearly define, and get agreement on, the value AI will help create: what value, by when and how much. CHROs should begin by understanding the AI business case patterns associated with their AI-related HR goals and the different value currencies each pattern creates (see Figure 2).

Figure 2: AI Business Case Patterns

AI Business Case Patterns

Illustrative

			
	Augment	Reengineer	Invent
Level of change to work	AI augments existing work to make it faster, more accurate and maintain competitive parity.	AI transforms processes or teams for competitive differentiation.	AI disrupts work by creating new value propositions, products or markets for competitive outperformance.
Sample AI initiative	Implementation of GenAI tools for recruiting efficiency	Transformation of HR service delivery through AI agents	Employee digital identity management and ownership
Expected return	Return on Employee <i>Employee satisfaction or net promoter score (NPS)</i>	Return on Investment <i>Decreased cost, increased revenue</i>	Return on Future <i>Increase market share, new stream of income</i>

Source: Gartner
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Understanding the business case pattern provides a starting point that must then be vetted against business and talent goals. Why is HR pursuing this goal (needed business or employee outcomes), and how does the expected value align? To support this evaluation, use [Tool: Align HR Strategy Metrics With Business Strategy](#).

Key Conversation: HR Technology Leader

CHROs should work with their HR technology leaders, people analytics leaders or CIOs to clarify the type of investments the organization is making and the expected value.

Sample questions:

- As AI is a key component of our HR goals, how should we measure the value we are delivering through these investments?
- How will we track the ROI of tech investments, particularly in AI? What financial and nonfinancial metrics will demonstrate success?
- Do we and our stakeholders have proper expectations about the actual impact each goal will deliver?

Evidence

¹ **Benchmark With Gartner: CHRO Top Market Insights From 2025 and Implications for HR Strategy.** This live polling webinar was designed to facilitate discussions among HR leaders about the positions their peers are taking on pressing issues that affect crucial talent decisions. The main topics covered in this webinar include the labor market climate outlook update for talent-based leading indicators of economic conditions, CHRO top market insights from 2025 and implications for HR strategy, and labor market dynamics. The webinar was conducted on 17 September 2025 with responses from over 30 HR leaders participating across a spectrum of industries. Disclaimer: Results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

² **2026 Gartner HR Priorities Survey.** This survey was conducted to understand senior HR leader perspectives on their priorities and challenges for the next 12 to 18 months. The survey was conducted online from 6 June 2025 through 18 July 2025 and contains responses from 900 HR leaders with representation from various regions and industries. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

Recommended by the Author

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[AI Use-Case Assessment for HR](#)

[Tool: Develop an HR-Focused AI Strategy](#)

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